



ST. KITTS & NEVIS NATIONAL AUDIT OFFICE



REPORT BY THE DIRECTOR OF AUDIT FOR THE YEAR ENDED 2016



St. Kitts and Nevis

National Audit Office

Report by the Director of Audit
For the year 2016



*ST. KITTS AND NEVIS
NATIONAL AUDIT OFFICE
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October 30, 2017

Honourable Dr. Timothy Harris
Prime Minister and Minister of Finance
Government of St. Kitts and Nevis
Government Headquarters
Church Street, Basseterre
St. Kitts

Sir,

In accordance with Section 76 (4) of the Constitution of St. Christopher and Nevis, I submit the Annual Report of the Director of Audit for tabling in the National Assembly. This report includes the examination of the Public Accounts for the year ended December 31, 2016.

Respectfully,


.....

Carla Berridge - Pike, CPA, FCPA

Acting Director of Audit

Director of Audit's Overview

It is an honour to present the first Annual Report of the Director of Audit since my appointment as Acting Director of Audit on February 20, 2017.

The principal objective of this Office is to promote better governance, transparency and accountability in the public sector and we strive to do this by issuing impactful reports.

The duties of the Director of Audit are enshrined in Section 76 of the Constitution of St. Christopher and Nevis and Section 6 of The Audit Act, 1990. Section 6 of The Audit Act allows the Director of Audit to make examinations and enquiries of Public Bodies and also Statutory Bodies as he considers necessary and appropriate.

The Annual Report of the Director of Audit is presented to Parliament in accordance with Section 7 (1) of The Audit Act, 1990 which states:

“The Director of Audit shall submit an Annual Report to the Minister for transmission to the National Assembly on the work of his office; on the results of his examination of the annual accounts; and on whether, in carrying out his duties, he received all the information, reports and explanations required.

The Director of Audit is also required by Section 6 (2) of The Audit Act to express an opinion as to whether the Annual Accounts submitted by the Accountant General represent fairly the financial position and results of operations of the Government.

Though the Office has faced many challenges in prior years, it is now poised to take a proactive stance in fulfilling the mandate to audit, report and hold government accountable for how it uses public money. In this regard, the Office seeks to restructure the organization and enhance its human resource capacity by providing training to its staff and recruiting qualified individuals to fill vacant positions.

Strengthening Public Financial Management (PFM) of the Government of St. Kitts and Nevis is of high priority and we will continue to do our part in the reform process by meeting our goals and objectives in the time frame given.

We welcomed the passage of the Public Accounts Committee Bill in August of 2017 noting that a functional Public Accounts Committee can provide value added to our reports which in turn can enhance sound financial management.

Appreciation is extended to the management team and staff of the National Audit Office for their support, professionalism and commitment over the past few months. Special thanks are also extended to the Accountant General Department and audited bodies for their cooperation.

.....*Pike*.....

Carla Berridge - Pike, CPA, FCPA

Acting Director of Audit

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SECTION 1

Analysis of the Financial Statements of the Government of St. Kitts and Nevis

INTRODUCTION

The Public Accounts of St. Kitts and Nevis are prepared by the Accountant General in accordance with Section 57 (2) (a) of the Finance Administration Act.

The Public Accounts of the Government of St. Kitts and Nevis were submitted to the National Audit Office by the Accountant General in compliance with Section 57 (2) (c) of the Finance Administration Act, 2007. This Act requires the Accountant General to submit copies of the Public Accounts to the Director of Audit within six months after the end of the financial year.

The Public Accounts for the financial year ended December 31, 2016 were submitted to the National Audit Office on June 30, 2017.

This section of the report provides an analysis of the financial statements and the notes to the financial statements of the Government of St. Kitts and Nevis.

Compliance with Cash Basis International Public Sector Accounting Standards (IPSAS)

The requirements of Part 1 of Cash Basis IPSAS include:

1. A statement of cash receipts and payments which recognizes all cash receipts, cash payments and cash balances controlled by the entity;
2. Accounting policies and explanatory notes;
3. A comparison of budget and actual amounts if the approved budget is made publicly available.



The Statement of Cash Receipts and Payments on page 9, the Statement of Comparison of Budget and Actual Amounts on page 11 and the Accounting Policies and Notes to the Financial Statements beginning on page 16 of the Public Accounts are in compliance with Part 1 of Cash Basis IPSAS.

Compliance with the Finance Administration Act, 2007

Section 57 (4) of the Finance Administration Act, 2007 lists the statements that are to be included in the Public Accounts. These include:

1. A summary statement of revenue and expenditure of the Consolidated Fund by standard object code and economic classification;
2. A comparative statement of actual and estimated revenue by detailed object code;
3. A statement of assets and liabilities;
4. A statement of each Special Fund;
5. A statement of the balance in each Deposit Fund;
6. A statement of investments showing the funds on behalf of which the investments were made;
7. A statement of public debt and accumulated sinking funds;
8. A statement of balance in any fund, other than a sinking fund, for which provision is made by or under an Act;
9. A statement of contingent liabilities of the Government;
10. Statement of balances on advance accounts;
11. Statement of arrears of revenue by detailed object code;
12. Any other statement the National Assembly may require.

While the Public Accounts presented comply with the Finance Administration Act, 2007 in that all statements were presented, the examination found that the Statement of Arrears of Revenue was incomplete. There were some notable omissions including Institution Health Services for hospital fees, Inland Revenue Department and the Water Services Department.



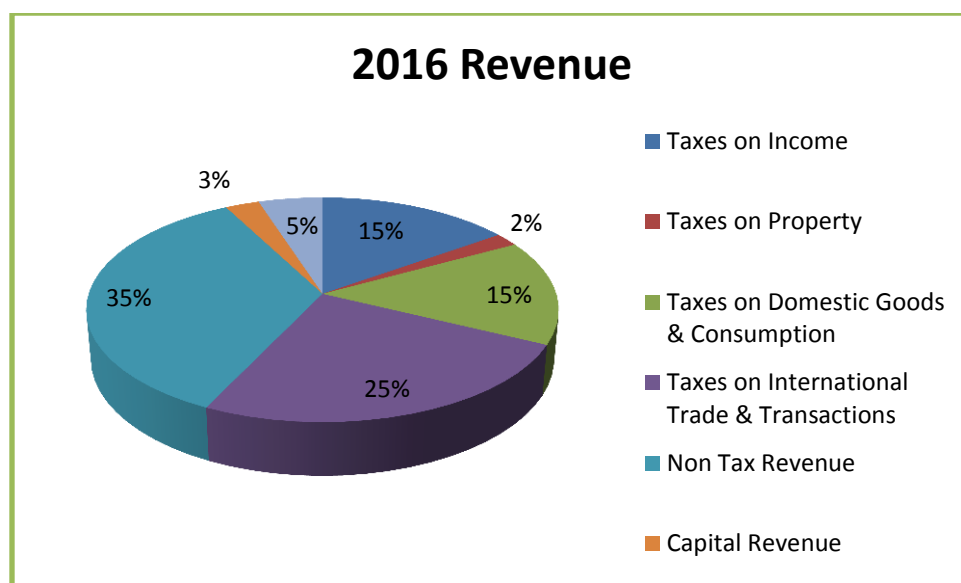
SUMMARY OF FINANCIAL INFORMATION

In December 2015, Parliament approved the year 2016 Budget (Estimates) for expenditure of \$667 million and revenue of \$699 million. A further \$36 million of expenditure was approved by supplementary/appropriation warrants.

Following the closure of the 2016 Public Accounts, actual revenue totaled \$715 million and actual expenditure amounted to \$627 million which resulted in an end of year surplus of \$88 million.

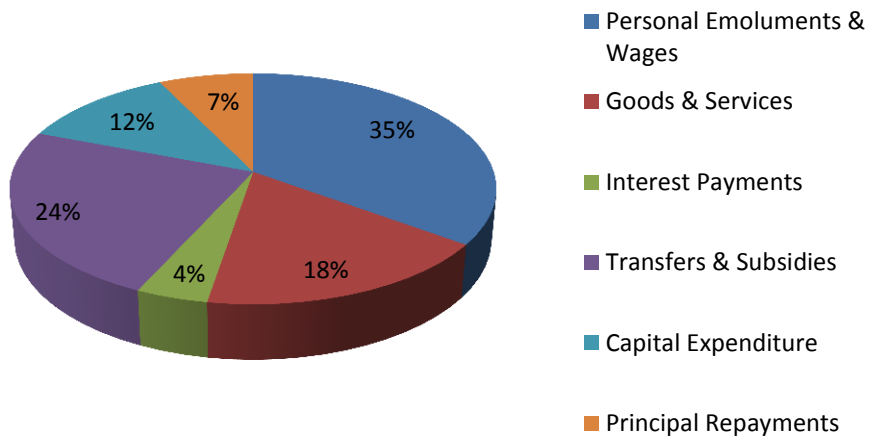
Graphical Presentation of Government Revenue and Expenditure

The following graphs represent the composition of Government revenue and expenditure at the end of the financial year 2016.

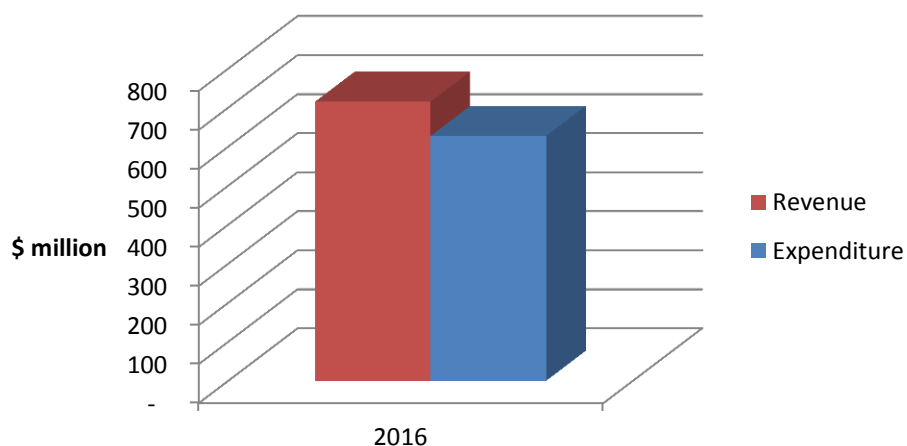




2016 Expenditure



Total Revenue vs. Expenditure 2016



Revenue

Details of revenue collected during 2016, classified by ministry, standard object code and economic classification, as compared with Estimates are shown in the Public Accounts of the Government of St. Kitts and Nevis in Note 13 beginning on page 58. Table 1 presents a comparative summary of total revenue received in 2016 relative to 2015.

**Table 1: Revenue for the year ended December 31, 2016**

Revenue Type	2016 Revenue (\$ million)	2015 Revenue (\$ million)
Tax Revenue	406	412
Non Tax Revenue	250	343
Capital Revenue	19	18
Budgetary Grant	40	-
	715	773

The overall revenue for 2016 totaled \$715 million, which was \$58 million less than the amount collected in 2015. Although taxes on Income, Property, Domestic Goods and Consumption and International Trade and Transactions remained fairly constant, it was Non Tax revenue that decreased significantly in comparison to the previous year by \$93 million. This was attributed to a decline in Citizenship by Investment fees relative to the previous year. This however was anticipated. As a result, the estimated revenue from this source was reduced from \$200 million in 2015 to \$150 million in 2016.

Although capital revenue had a shortfall of \$36 million from the amount estimated, actual total revenue collected by the Government surpassed its forecast as the recurrent revenue, which consists of tax and non tax revenue performed better than estimated in 2016.

Expenditure

Actual expenditure for 2016 totaled \$627 million with personal emoluments and wages accounting for 35% of the total. Actual expenditure decreased by \$185 million in comparison to the previous financial year. Personal emoluments and wages in 2016 were \$26 million in excess of the 2015 figure. The decrease in expenditure for 2016 can be attributed in part to a \$137 million decrease in loan principal payments relative to the previous year.

**Table 2: Expenditure for the year ended December 31, 2016**

Expenditure Type	2016 Expenditure million	Actual (\$)	2015 Expenditure million	Actual (\$)
Personal Emoluments & Wages		220		192
Goods & Services		110		134
Interest Payments		26		33
Transfers & Subsidies		151		137
Capital Expenditure		75		111
Principal Payments		45		184
Net Lending		-		21
		627		812

Financial Indicators

Overall, the following indicators present a picture of good health of the finances of the Government of St. Kitts and Nevis.

Surplus/Deficit

A surplus/deficit is an indication of whether or not a government is being effectively managed. The surplus/deficit presented in the Statement of Revenue and Expenditure represents the difference between the revenues received and the expenditures paid for all budgeted accounts. In 2016, the Government of St. Kitts and Nevis recorded a surplus of \$88 million in comparison to a deficit of **(\$39)** million in 2015. An increasing surplus coupled with a decreasing debt are signs of a strong economy.

**Table 3: Government's surplus/deficit 2015 - 2016**

	2016 (\$ million)	2015 (\$ million)
Total Revenue	715	773
Total Expenditure	627	812
Surplus/(Deficit)	88	(39)

Interest Costs to Operating Revenue

Interest costs as a percentage of operating revenue decreased from 4.3% in 2015 to 3.7% in 2016. This signifies that less of government's operating revenues were used to service interest payments in 2016. The reduction of the debt portfolio and the decrease in the interest rate on Treasury Bills contributed favourably to this outturn.

Debt to GDP Ratio

The debt to GDP ratio is a measure of a country's ability to pay back its debt. The Debt to GDP ratio of the Government of St. Kitts and Nevis decreased from 68.8% at the end of 2015 to 64.5% as at December 31, 2016. The Government of St. Kitts and Nevis is on the path to surpassing the target set for the ECCU countries to attain a 60% debt to GDP ratio by 2030. The debt to GDP ratio of 64.5% signifies that the risk of the Government defaulting on its loan payments is low.

Net Assets

At the end of December 2016, net assets of the Government of St. Kitts and Nevis amounted to \$383 million, an increase of \$92 million over the previous financial year indicating that short term resources were more than adequate to satisfy the short term financial liabilities.

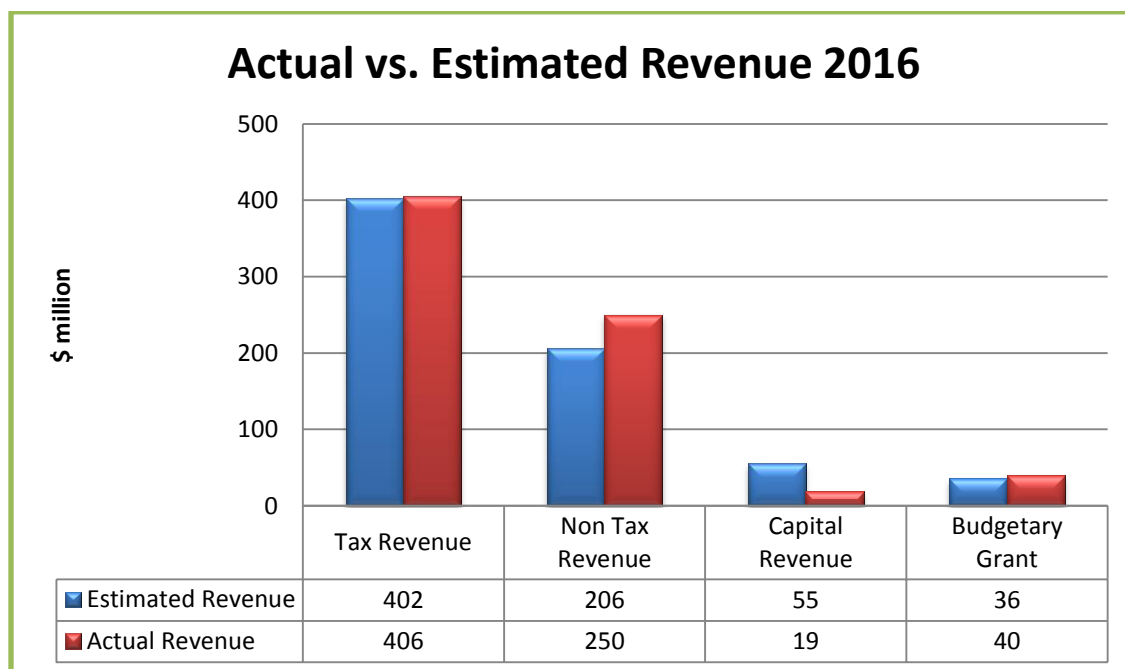


Cash Ratio

The cash ratio provides a measure of government's ability to use its most liquid assets (cash and cash equivalents) to meet its short term obligations. In 2016, the cash ratio was 1.78 relative to 1.50 in 2015 indicating an increase in liquidity coverage relative to the previous year. The increase in cash ratio reflected an \$88 million increase in cash coupled with a \$12 million decrease in liabilities.

COMPARISON TO THE BUDGET

REVENUE



Recurrent Revenue

Recurrent revenue consists of Tax and Non Tax Revenue. Revenue from these sources totaled \$656 million for 2016. The performance of recurrent revenue was \$48 million in excess of the budget estimate. The following entities collected 89 percent of the total recurrent revenue: Customs and Excise Department (\$174 million), Inland Revenue Department (\$232 million) and the Citizenship by Investment Unit (\$175 million).



The following four revenue streams contributed considerably to the overall collection of the St. Kitts Customs and Excise Department: Import Duties on articles other than alcohol (\$55 million), Customs Service Charge (\$37 million), Value Added Tax (\$57 million) and Excise Tax (\$12 million). Revenue collection for the Customs and Excise Department fell short of its 2016 target by \$9 million. This was as a result of the Value Added Tax and Customs Service Charge performing lower than anticipated. Accumulated collection from these two sources was \$17 million less than estimated.

Stamp Duty (\$25 million), Value Added Tax (\$56 million), Corporate Income Tax (\$55 million), Withholding Tax (\$12 million) and Housing and Development Levy (\$41 million) all contributed significantly to the Inland Revenue Department's collection for 2016. With the exception of the Social Services Levy, the above mentioned taxes surpassed their revenue targets for 2016 allowing the Inland Revenue Department to exceed its forecasted revenue of \$219 million by \$13 million.

Fees, Fines, Forfeiture and Other Receipts both contributed to the favourable variance of \$44 million from Non Tax revenues as both revenue streams surpassed their respective targets by over \$25 million for 2016. Under Fees, Fines and Forfeiture, revenue collected under the Citizenship by Investment programme surpassed its 2016 target of \$150 million by \$25 million. Citizenship by Investment fees accounted for 92% of the total collections by the Citizenship by Investment Unit. Application fees and due diligence fees accounted for the balance of the revenue collections.

Capital Revenue

There was a shortfall of capital revenue compared to the estimated budget for 2016 as capital grants budgeted for were either not received or were significantly less than estimated. Capital revenue was estimated at \$55 million for 2016 consisting of \$50 million in development aid and \$5 million from the sale of government lands. The amount received totaled \$19 million, creating an unfavourable variance of \$36 million. Thirteen (13) ministries budgeted for capital revenue for 2016. Of these, seven (7) ministries with an accumulated estimate of \$24 million did not receive any capital revenue. Capital revenue received by the Ministry of Youth, Sports and Culture for the hosting of Hero Caribbean



Premier League (CPL) games and lighting of sporting facilities in Sandy Point, and revenue received from the sale of government lands were the only favourable outturns for actual capital revenue in comparison to the budget for 2016.

Budgetary Grants

Budgetary Grants were estimated at \$36 million for 2016. This target was surpassed with \$25 million in receipts from the European Union and \$15 million from the Sugar Industry Diversification Foundation (SIDF).

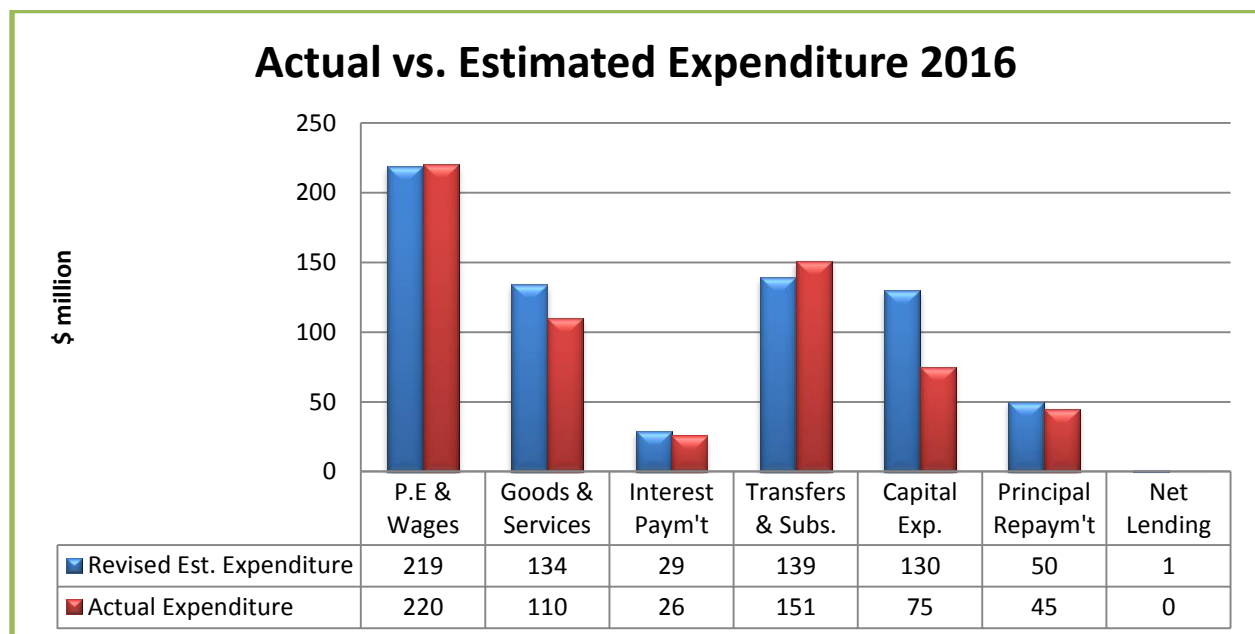
EXPENDITURE

The appropriations for expenditure during 2016 are shown below.

Original Budget \$667,165,590

Supplementary Budget \$ 35,647,730

\$702,813,320





Recurrent Expenditure

Actual recurrent expenditure totaled \$507 million in 2016. The budget for recurrent expenditure was revised and increased by \$32 million for twelve (12) ministries resulting in a revised estimate of \$521 million. In comparison to the revised estimate, the government achieved a savings of \$14 million. Areas resulting in savings where the actual amount spent was less than budgeted include: supplies and materials (\$2 million), training (\$1 million), interest payments (\$3 million), professional and consultancy services (\$13 million), electricity payments (\$2 million) and expenditures from the contingency fund (\$7 million).

In contrast, over expenditure (where the actual amount spent was in excess of the budgeted amount) resulted in the following areas: wages (\$3 million), retiring benefits (\$8 million), operating and maintenance services (\$2 million) and grants and contributions (\$3 million).

Table 4 below portrays ministries whose actual expenditure exceeded their original budget figures by over \$1 million.

Table 4: Ministries with actual recurrent expenditure in excess of \$1 million of their original budget

Ministry	Original Budget (\$)	Actual Expenditure (\$)	Variance (\$)
National Security	47,621,643	49,423,345	1,801,702
Finance	166,958,521	184,762,004	17,803,483
Tourism	22,005,354	23,281,183	1,275,829
Education	69,434,241	74,705,037	5,270,796
Health	46,147,482	48,499,033	2,351,551
Youth, Sports & Culture	6,368,038	8,086,019	1,717,981



The following reasons, as stated in the supplementary appropriation warrants for 2016, are in respect of the six (6) ministries whose actual expenditure exceeded their original budget by over \$1 million.

Ministry of National Security

Additional funds were requested to meet the cost of salaries and to provide medical assistance to a police officer.

Ministry of Finance

Additional funds were requested for grants and contributions to local institutions to provide budgetary support to the Nevis Island Administration.

Ministry of Tourism

Additional funds were requested to meet the expenditures in relation to the St. Kitts Music Festival.

Ministry of Education

Additional funds were needed to meet the cost of salaries in four primary schools and all high schools on the island.

Ministry of Health

Additional funds were requested to meet the cost of salaries and wages under Institution Based Health Services.

Ministry of Youth, Sports and Culture

Additional funds were requested to meet the expenditures in relation to National Carnival.

Capital Expenditure

The capital expenditure budget for 2016 was approved at \$126 million to support 135 projects. The budget was revised to \$130 million to include funds required in relation to



the renovation and upgrade of Government House, hosting fees for the HERO CPL games and additional expenses of the Electoral Office.

Actual expenditure for capital projects for 2016 amounted to \$75 million representing 59% of the original budget. This included expenditure for 119 budgeted projects and 7 projects that were not budgeted for in 2016. At the end of the 2016 financial year, 23 projects with an estimated budget of \$16 million had not been undertaken.

The following are some of the projects undertaken by various ministries.

The Office of the Governor General spent \$2.1 million on the rehabilitation of the Governor General's House.

The Ministry of National Security spent \$4.8 million on its Safety and Security Improvement Project that was budgeted for \$9.5 million. The overall capital expenditure for this ministry was \$11 million resulting in a savings of \$4 million in comparison to the budget.

The Ministry of Finance spent a total of \$1 million on the renovation of the Treasury Building and \$1.4 million on Institutional Strengthening for Social and Economic Development. Expenditure of \$188 thousand was undertaken for the renovation of the John Gumbs Building compared to the budget of \$1 million.

Expenditure on BNTF Cycle 8 (\$1.3 million) accounted for half of the actual expenditure from the Ministry of Community Development, Gender Affairs and Social Services.

The Ministry of Agriculture spent \$3.5 million of its budgeted \$4.1 million. Some of the projects undertaken were the Agriculture Diversification Project, the Basseterre Abattoir and Market and the Rehabilitation of the Old Road Fisheries Complex. The acquisition of two multipurpose boats at a cost of \$891 thousand was not undertaken. Included in the expenditure for this ministry was an amount of \$654 thousand expended for the Agricultural Research Management Project.

The Ministry of Tourism spent \$2.3 million of its budgeted \$5.7 million. The largest amount was spent on the Frigate Bay Beach Enhancement Project with an expenditure of \$1.5



million. There were two projects that were not undertaken; the Black Rocks Enhancement Project and the Construction Cockleshell Beach Lavatory.

The Ministry of Public Infrastructure et al spent \$17 million out of a budgeted \$23 million on capital projects. The ministry spent \$9.5 million on the Upgrade of the Dr. Kennedy Simmonds Highway, \$1.4 million on Water Drilling and Extension of Water Lines project and \$1.8 million on the Road Improvement project.

The Ministry of Education spent \$6.9 million out of its budgeted \$16 million. The largest expenditures included \$1.7 million on the Early Childhood Development project and \$1.7 million for the Construction of New Basseterre High School project. The expenditure under the Construction of the New Basseterre High School project was used to repair the roof of the Clarence Fitzroy Bryant College, to renovate a primary school and install security cameras for schools.

The Ministry of Health spent \$4 million out of its budgeted \$15 million as two major projects did not materialize in 2016. The JNF Hospital Phase III project did not record any expenditure and the Capitalization of the National Health Insurance Scheme recorded less than \$1 million of expenditure out of the \$7 million budgeted for this project.

The Ministry of Sustainable Development spent \$5 million out of its budgeted \$8 million. The Special Land Distribution Initiative and the Commercial Infrastructure Development projects accounted for 95% of the expenditure of this ministry.

The Ministry of Nevis Affairs et al spent \$23 thousand out of its \$6 million budget for 2016. The Capitalization of Unemployment Benefits Fund and the Capitalization of Long Service Gratuity and Severance Payment Fund were the two projects listed under this ministry. They were also budgeted for in 2015 as well and did not incur any expenditure during that year.

It is recommended that:

- 1. Departments carefully plan their capital expenditure projects and only budget for projects that will commence or be executed within the financial year.**



Projects not properly planned and executed cause large variances that undermine the budgeting process.

- 2. The Ministry of Finance approve expenditure from capital project accounts only for transactions related to that specific project. Allowing expenditure to be made from a project that is unrelated to the nature of the payments distorts the financial information presented to users of the financial statements.**

Principal Repayments

The budget for principal payments on outstanding loans of the Government of St. Kitts and Nevis for 2016 was approved at \$50 million with \$49 million budgeted for external debt principal payments and \$1 million for domestic debt principal payments. The actual expenditure totaled \$45 million with external debt principal payments accounting for 99% of the expenditure. The favourable performance of this category of expenditure stems from accelerated debt payments that resulted in a reduction of the debt stock in 2016.

STATEMENT OF CASH RECEIPTS AND PAYMENTS

The Statement of Receipts and Payments as presented in the Public Accounts, shows the cash receipts and payments of the government sub-classified by operating, investing and financing activities. This statement also shows the opening and ending balances of cash for 2016.

The Statement of Cash Receipts and Payments is presented on pages 9 and 10 of the Public Accounts. A summary of that statement is presented in the following table.

**Table 5: Summary Statement of Cash Receipts and Payments**

	2016 (\$ million)	2015 (\$ million)
Net Cash Flows :		
Operating Activities	182	250
Investing Activities	(49)	(110)
Financing Activities	(45)	(184)
Net increase/(decrease) in cash	88	(44)
Cash at beginning of period	593	637
Cash at end of period	681	593

The government's cash position improved from \$593 million at the end of 2015 to \$681 million as at December 31, 2016.

Net Cash Flow from Operating Activities

Total receipts from operating activities totaled \$762 million in 2016 with tax revenues collected by the Inland Revenue and Customs and Excise Departments accounting for over 50% of the total receipts from operating activities. Budgetary grants, non tax revenues and funds received from the repayment of advances accounted for the balance. Payments on operating activities totaled \$580 million. This resulted in a net cash flow from operating activities of \$182 million in 2016.

Net Cash Flow from Investing Activities

Net cash flow from investing activities amounted to **(\$49)** million as receipts from investing activities of \$493 million were less than the amount paid.



Net Cash Flow from Financing Activities

There were no receipts from financing activities as the government did not acquire any new loans in 2016. Payments on financing activities totaled \$45 million which represented loan principal payments.

STATEMENT OF FINANCIAL ASSETS AND LIABILITIES

A Statement of Assets and Liabilities is a requirement of the Finance Administration Act, 2007. It is a statement of end of year balances of the Below the Line Accounts, which are not subject to the budgetary process. Since the government uses the cash basis of accounting, fixed assets (which are expensed) and balances that make up the Public Sector Debt (shown as separate schedules) are not included in the Statement of Financial Assets and Liabilities.

Cash and Cash Equivalents

Cash and cash equivalents increased by \$88 million over the previous year. At the end of 2016, the Government of St. Kitts and Nevis had an accumulated cash balance of \$681 million consisting of deposits at local banks, deposits at the Eastern Caribbean Central Bank (ECCB) and fixed deposits of various lengths and interest rates.

Cash balances of \$115 million in the Operating Account and \$277 million in the USD Call Account at the St. Kitts Nevis Anguilla National Bank are held in non-interest bearing accounts. The accumulated balance of these two bank accounts (\$392 million) account for 58% of the cash balance at the end of the year. This figure is far greater than the amount held in fixed deposit accounts (\$221 million) at the same institution earning interest.

It is recommended that:

The Government consider avenues for investing a portion of the cash held in non-interest bearing accounts in order to receive a return. This should also be in line with an Investment Policy that outlines the goals, objectives and constraints of the Government.



Personal Advances

Personal advances balance increased by \$266,448 relative to 2015. The end of year balance of \$2.8 million represents the amounts due to Government by public servants who were granted advances for educational, medical and legal purposes. An examination of the advances issued in 2016 and 2015 revealed several issues.

- While there is an existing policy that states advances should only be given for medical, educational and legal purposes, advance documents examined also included the word 'personal' as the reason for requesting an advance. Advances labeled as educational, medical or legal lacked adequate supporting documentation to justify the nature of the advance.
- The existing policy is silent as to the maximum amount that could be extended to individuals or the maximum pay-back period. One hundred and twenty one (121) advances were disbursed in 2016 ranging from \$1,000 to \$42,000 with the longest repayment period noted as 84 months.
- Balances on advance accounts are usually cleared from retirement benefits if an officer retires without completing payments on his or her advance. Individuals with less than 10 years of service are however not entitled to retirement benefits. Forty (40) advances were granted to individuals in 2016 with less than 10 years of service with the Government of St. Kitts and Nevis. This presents a serious risk to the Government as it may not be able to recoup the amounts extended as these persons could leave the service without repaying their advance.
- As at December 31, 2016 a total of 47 personal advances were not being serviced.

It is recommended that:

1. **The Ministry of Finance review and update the existing policy for granting personal advances to establish eligibility, the maximum amount that can be extended, the maximum repayment period and actions to be taken in cases of default.**
2. **An assessment is undertaken for those accounts that are currently not being serviced. A proposal should be developed to collect the amounts due from**



persons who are still in the service and a decision should be made as to the feasibility of collecting outstanding amounts from persons who are no longer employed in the service.

Subsistence Advances

Advances given to Government Ministers for work related travel increased by \$19,058 over the previous year. The trend over the years has shown an upward movement in the balances that remain uncleared at the end of the financial year. These advances are given to the Ministers to cover accommodation, per diem and incidentals on their travel. Initially recorded as advances, they are then transferred to an expenditure account upon the submission of a Claim for Subsistence and Traveling Expenses form. These advances should be cleared immediately by the Ministers upon return to the Federation. Balances on these advances indicate that expenditures for the year 2016 and before have been understated as travel expenditures have not been brought to account. The table below represents advances for travel given to Ministers in 2016, 2015 and 2014 and before that have not been cleared as at December 31, 2016.

Table 6: Subsistence Advances that have not been cleared

Year Travel Advance Granted	Balance to be cleared (\$)
2014 and before	233,698.07
2015	57,110.33
2016	87,460.77
Total Subsistence Advances	378,269.17

It is recommended that:

A written policy is put in place to address the clearing of travel advances. Steps must also be taken to clear the outstanding travel advances.



Other Advances

The following advances have been appearing on the Public Accounts for a number of years, some in excess of ten (10) years. The balances have remained the same over the years and there is no indication that recovery is imminent.

Table 7: Other Advances with outstanding balances

Advances	Balance (\$)
St. Kitts Tourism Authority – Enhancement	14,107,701.38
SSMC Severance Payment	6,052,864.53
Island Dredging Ltd.	10,800,000.00
Ex SSMC Workers Programme	344,338.03
Chairman La Vallee Greens	1,572,828.33
Nevis Island Administration	1,500,000.00
F/S Project YES	3,815,708.66
F/S for ABI	1,361,241.90

It is recommended that:

The Accountant General undertake an assessment to ascertain whether or not these funds can be recovered. If not, the Accountant General should seek permission to have these amounts written off to ensure accuracy and proper reporting. If these amounts cannot be collected and they are not written off, it will present inaccurate information in the financial statements. It must be noted that section 19 (2) of the Finance Administration Act, 2007 states “the write off of all or part of a debt does not extinguish the right of the Government to collect it”.



Investments

The Government of St. Kitts and Nevis is the holder of short term investments in US Treasury Notes and other securities which are managed by Crown Agents Investment Management. Other holdings include savings accounts at the St. Kitts Nevis Anguilla National Bank.

The Government has seen negligible increases over the years in its Savings Bank Fund portfolio managed by Crown Agents Investment Management. Increases in custody and management fees of the portfolio have exhausted any gains received on the buying and selling of securities.

It is recommended that:

The Accountant General undertake a review of the investment portfolio managed by the Crown Agents Investment Management to ascertain whether it is in line with the objectives and goals of the Government. These goals and objectives as well as constraints should be outlined in an Investment Policy Statement. If an Investment Policy Statement does not exist, it is recommended that one be developed.

Loan Receivable

The Government of St. Kitts and Nevis invested in a \$5.4 million bond issued by the Government of St. Lucia in 2015. The terms of repayment states semi annual fixed payments of \$270,000 for 10 years at an interest rate of 7.5%. Both payments for 2016 were received in full and by the due date.

Trust Funds

Trust Funds decreased by \$5 million in 2016 with the closure of the National Land Fund and the Sugar Price Stabilization Fund which were both invested in the Bank of Commerce. These funds were closed upon the receipt of monies through the Bank of Commerce liquidation process. The Government Savings Bank Fund increased by \$5 million in 2016 and the Severance Payment Fund decreased by \$5 million.



The Severance Payment Fund ended the year with a balance of **(\$8.9)** million. This fund continues to be depleted as the payments made from the fund continue to be greater than the receipts into the fund. The Severance Payment Fund is being used to pay both severance payments and long service gratuity payments.

The table below shows the receipts into and payments out of the Severance Payment Fund for 2016.

Table 8: Severance Payment Fund Receipts and Payments

	2016 (\$)
Receipts:	
Severance Contributions from Social Security	6,968,953.86
Treasury Bills Interest	60,000.00
	7,028,953.86
Payments:	
Severance Payments	7,852,331.25
Long Service Gratuity	4,114,833.18
	11,967,164.43
Over Expenditure	(4,938,210.57)

Although the government provided a capital project (Capitalization of Long Service Gratuity and Severance Payment Fund) in 2016 to provide an injection of \$2 million into the Severance Payment Fund to cover payments of long service gratuity, the amount was never transferred. This transfer would have reduced the over expenditure of the Fund.



It is clear that the receipts from severance contributions and interest on treasury bills cannot provide for the severance payments. The addition of long service gratuity payments without an added income stream will only seek to deplete the fund further.

Management of the Labour Department has stated that the department is pursuing legislative reform with respect to severance and long service gratuity payments.

Other Public Funds

Other Public Funds decreased by \$7 million which signifies a reduction in the amount of monies that the government is holding on behalf of entities, ministries and departments.

The balances of Development Aid funds shown in the following table have remained unchanged for a number of years. It must be noted that projects for which the funds were received have been completed. However, the funds were never transferred to Capital Revenue as should have been done. This suggests that Capital Revenue was understated in previous years.

Table 9: Development Aid Accounts

DEVELOPMENT AID	2016	2015
	\$	\$
Constitution Commission PSTC	2,780,731.67	2,780,731.67
ROC on Taiwan/5 Year Social And Education Project	18,750,400.00	18,750,400.00
Global Youth Survey	1,854.42	1,854.42
Construction Police Station D/Bay & Tabernacle	239,202.77	239,202.77
Foreign Affairs Furniture & Equipment. Rep. Korea	23,852.84	23,852.84
Verchild's Playing Field	58,822.22	58,822.22
Petrol Fund Rural Education Project	5,436,613.36	5,436,613.36
Black Rocks Development Project	8,697.93	8,697.93
Half Way Tree Ground Upgrade	41,836.72	41,836.72
Challengers Playfield Upgrade	17,450.54	17,450.54
CCTV Project	72,681.36	72,681.36
HIS: Health Centers & Mental Wings	7,419.43	7,419.43
St. Paul's Day Care Center	3,018,151.00	3,018,151.00
	30,457,714.26	30,457,714.26



Deposit Accounts are a cause for concern. Some of these Below the Line Accounts have been in existence for years. This was not the intention for these types of accounts. Deposit accounts were created for specific purposes and each one should have been closed after its purpose was served. It is noted that some of these accounts are used on a daily basis to record receipt of monies and payment for expenditure. It can be deduced that some of these accounts are being used to record transactions that should be classified as government revenues and expenditures.

The following table shows deposit accounts that appear to be inactive. They have not been used for the year 2016.

Table 10: Inactive Deposit Accounts

Deposit Accounts	2016 (\$)	2015 (\$)
Evening Institute	94,238.02	94,238.02
Rent of School Buses	7,139.31	7,139.31
Stale Checks	910,537.87	910,537.87
Counseling W/Shop (HIV/AIDS)	235.91	235.91
NTRC Operational Account	15,672.42	15,672.42
NEMA Document Center	848.25	848.25
National Assessment on HIV/AIDS	210.06	210.06
The Angelus Hotel – Marriott	13,575,471.39	13,575,471.39
Proceeds From Sale of SSMC Assets	400,696.39	400,696.39
NEMA District Funds	1,172.49	1,172.49
Customs Training	12,115.15	12,115.15
KHT Land Holdings Ltd Lease Options	672,045.00	672,045.00
Computer Software Upgrade	7,080.00	7,080.00
UNESCO National Cultural Policy	681.15	681.15
SKN Revised Laws	203,035.65	203,035.65
One to One Laptop Projects	191,518.71	191,518.71
Receiver of Wrecks and Salvages	100,000.00	100,000.00
OAS Caribbean Sustainable Energy Program	5,421.07	5,421.07
IRD Capacity Upgrade	9,080.80	9,080.80
CIU Contingency Account	5,578.45	5,578.45
CARICOM Food Security Project	7,792.64	7,792.64
Office of the Prime Minister/CIU	8,663,753.30	8,663,753.30
Financial Data Center	526,498.59	526,498.59



Deposit Accounts	2016 (\$)	2015 (\$)
Public Library	4,858.24	4,858.24

It is recommended that:

1. Inactive deposit accounts are closed.
2. Development Aid accounts are closed.
3. Deposit accounts are properly managed. These accounts should be investigated to determine whether they are actually receiving amounts that should be considered as government revenue or expenditure and arrangements made to provide the department with a revenue or expenditure account. If deposit accounts are not properly managed, they have the impact of underestimating both government's revenue and expenditure in the financial statements.

PUBLIC SECTOR DEBT

The Public Sector Debt is included in the Notes to the Financial Statements in the Public Accounts. Notes 9 and 10 beginning on page 41 of the Public Accounts present the debt of the Central Government and contingent liabilities in the form of loan guarantees to statutory bodies, government owned corporations and the Nevis Island Administration respectively. In the event that the entities mentioned above are unable to repay their loans, the responsibility for payment of these loans would fall on the Central Government.

As at December 2016, the Public Sector Debt of the Government of St. Kitts and Nevis amounted to \$1.5 billion, a decrease of \$53 million or 3% over the previous year. Central Government debt was \$907 million and guaranteed debt was \$646 million.



Two loans of the Central Government were paid off in 2016; the Emergency Recovery Project – IBRD Loan number 7125 – SC and IMF Standby Arrangement loan. These loans carried a cumulative balance of \$25 million at the end of 2015.

The balances of five loans accumulated at \$120 million with the designation Petrocaribe Energy Corporation did not change in 2016. All five loans are 1% interest bearing and are due between 2032 and 2036 with 23 annual payments each. The Ministry of Finance has stated that during 2016, negotiations were ongoing concerning these instruments hence the reason why payments were not made.

While the Central Government debt decreased by 3% relative to 2015, the guaranteed debt decreased by only 0.2% relative to 2015. Within the guaranteed debt portfolio, domestic debt increased by \$12 million with \$9 million stemming from the increase in overdrafts by the Nevis Island Administration, ZIZ Broadcasting Corporation, Nevis Electricity Company and the Nevis Housing and Land Development Corporation. Particular attention should be paid to the impact of overdrafts on the quantum of the domestic portion of the guaranteed debt, since overdrafts have been increasing over the past three years.

It must be noted that guaranteed debt accounts for 42% of total public sector debt. Therefore efforts must be made to decrease the domestic portion of the guaranteed debt to prevent undermining of the strides to decrease total public sector debt.



ARREARS OF REVENUE

The statement of arrears of revenue is a requirement of the Finance Administration Act, 2007. The statement however is incomplete and not provided on a comparative basis. The statement shows arrears of revenue as at December 31, 2016 of \$5 million. A summary of the results are shown in the table below.

Table 11: Arrears by Ministry

Ministry/Department	Arrears Total (\$ million)
Finance – Customs Department	3.83
Tourism	0.20
Public Infrastructure: Public Works	0.59
Public Infrastructure: Post Office	0.46
Education	0.04
Total	5.12

Without comparative figures from the previous year, it is difficult to determine if the departments have been proactive in the collection of arrears. While the table represents arrears of \$5 million, the figure is presumed to be greater as notable revenue collecting agencies such as the Inland Revenue Department, Water Services Department and the Joseph N France General Hospital did not submit information concerning arrears of revenue.

It is recommended that:

The Accountant General ensure that all revenue collecting entities submit their arrears of revenue information in a timely manner to be included in the Public Accounts.



OTHER AREAS OF CONCERN

Section 7(iii) of the Audit Act, 1990 states “The Director of Audit shall submit an Annual Report to the Minister for transmission to the National Assembly: (iii) on whether, in carrying out his duties, he received all the information, reports and explanations required”.

During the year under review, \$30 million was paid out to state-owned corporations as subventions to assist them in meeting operational expenses. The budget for subventions to state-owned corporations was \$28 million, \$2 million less than the actual expenditure. The relevant accounting officer was engaged to provide information concerning payments to National Carnival Committee as the budgeted subvention of \$0.8 million was surpassed by \$1.7 million resulting in payments that amounted to \$2.5 million. Nevertheless the information requested has not been received by the National Audit Office.



Opinion on the Financial Statements

Audit Mandate

In accordance with Section 76 (2) of the Constitution of St. Christopher and Nevis and Section 7 of the Audit Act No. 8 of 1990, we conducted an audit of the Public Accounts of St. Kitts and Nevis for the year ended December 31, 2016.

Responsibility of the Accountant General

The presentation of statements, accounts and schedules of the Public Accounts are the responsibility of the Accountant General in fulfillment of Section 57 (4) of the Finance Administration Act, 2007 and the requirements of Cash Basis International Public Sector Accounting Standards (IPSAS).

The Accountant General is also responsible for maintaining a system of internal controls to enable the preparation of financial statements that are free from material misstatement whether due to fraud or error.

Responsibility of the Auditor

The National Audit Office's responsibility is to audit the financial statements and form an opinion based on the work conducted.

Basis for Opinion

We conducted our audit in accordance with INTOSAI auditing standards. These standards require that we plan and perform the audit to obtain reasonable, rather than absolute assurance that the financial statements are free from material misstatement. It is not a guarantee that an audit conducted in accordance with International Standards on Auditing will always detect material misstatements arising from fraud or error.

We believe that our audit provides a reasonable basis for our opinion.



Opinion

In our opinion, the financial statements and notes presented in the Public Accounts present fairly, in all material respects, the financial position of the governmental activities of the Government of St. Kitts and Nevis as at December 31, 2016.

.....*Pike*.....

Carla Berridge - Pike, CPA, FCPA

Acting Director of Audit

October 30, 2017



SECTION 2

The Work of the St. Kitts and Nevis National Audit Office

The National Audit Office plays a significant role in the Public Financial Management System of St. Kitts and Nevis. There is a constitutional mandate assigned to the Office of the Director of Audit to audit the Public Accounts of the country and determine whether or not moneys that have been appropriated and disbursed by the Parliament have been applied to the purposes for which they were so appropriated, and that all expenditures conform to the governing authority. The Audit Act, 1990 provides supporting legislation for this constitutional mandate, and further enhances the office's ability to carry out its critical functions by outlining in greater detail, duties and powers of the office.

In an effort to satisfy our obligations to the Public Financial Management System and deliver on our constitutional mandate, our office conducts three types of audits: financial audits, compliance audits, and performance audits. The execution of audits from these three audit streams enhances the quality of the Public Financial Management System as they serve to improve the accountability framework in the public sector. The financial audits assess whether or not an entity's financial information is fairly presented in accordance with applicable financial reporting and regulatory framework— hence this type of audit involves verification of figures reported in the Public Accounts. The performance audits assess whether or not government undertakings, systems, operations, programmes, activities, or organizations are operating in accordance with the principles of economy, efficiency, and effectiveness. The compliance audits assess whether or not a given subject matter is in compliance with applicable authorities.

In addition to executing audits, the National Audit Office continues to support the Public Financial Management System by providing support to the Public Financial Management Committee as a member of that committee.



The verification of pensions and gratuities (including long service payments and compassionate gratuities) is also a responsibility of our office. This is another critical area of our work, and we continue to strive to deliver this service with the highest degree of efficiency.

While we are an independent entity, we not only recognize our role within the Public Financial Management System, but also our existence and role as an audit institution within the Caribbean Region. As a result, our office is a member of the Caribbean Organization of Supreme Audit Institutions (CAROSAI) and the International Organization of Supreme Audit Institutions (INTOSAI). We not only provide support where necessary and possible to these Organizations, but we have also been one of the beneficiaries of timely training sessions and other support offered by them.

The National Audit Office will continue to strive to improve the quality of services it provides by focusing primarily on improving its human resource capacity in order to achieve the overarching objective of promoting good governance and accountability.

Staffing

In order to continue to improve execution of its mandate, the National Audit Office has begun to engage in capacity building strategies and activities. Throughout the region, Audit Offices, like many other institutions, face the challenge of recruiting and retaining qualified, competent employees. Despite the challenges that may exist in this regard, our Audit Office has begun to fill vacancies, and make arrangements to attract and retain individuals with the necessary competencies to bolster the capacity of the office. Not only are efforts focused on attracting qualified, competent individuals to fill positions that are currently vacant, but a strategic review of the organizational structure was executed. As a result, the office is expected to have a new organizational structure which will take effect at the start of the new fiscal year which provides a framework that would provide additional senior level vacancies that are expected to be filled soon thereafter. This is expected to further increase and improve audit coverage as well as the quality of the reports. The human resources of the National Audit Office, collectively, represent one of the most critical inputs— perhaps the most critical input which affects the quality of our outputs, and



ultimately determine whether or not the expected outcomes are realized. For this reason, efforts to attract and retain the requisite competencies will intensify during the new fiscal year.

Training

Training is the other core element of the capacity building initiative that is being vigorously pursued by the National Audit Office to ultimately enhance the quality of our services. The National Audit Office has been able to access training through provisions of regional entities. Two officers attended a Compliance Auditing workshop with a focus on Procurement. This training was a product of the Caribbean Organization of Supreme Audit Institutions. In addition, two officers attended a workshop on Performance Auditing with a focus on Public Debt which was organized by the Eastern Caribbean Central Bank as a product of an initiative to build capacity in relation to this subject matter throughout the Eastern Caribbean Currency Union member countries. These two training sessions provided additional exposure for the officers to two different audit streams, which will add value to the quality of the assurance services provided by our office. In addition, a number of in house training sessions have been delivered which focused on: the observance and application of International Standards for Supreme Audit Institutions, the pension and gratuity computation verification process, observance and application of pieces of legislation relevant to specific activities of the National Audit Office. In addition, an assessment of training needs has been done, and a draft training plan has been developed which will be used to guide the training schedule for the new fiscal year.

Other Significant Developments

Memorandum of Understanding between Internal Audit Unit and National Audit Office

In April, 2017, the National Audit Office signed a Memorandum of Understanding (MOU) with the Internal Audit Unit of the Accountant General's Department. This is a significant development because this establishes a framework for collaboration between the two offices and sets the parameters for these collaborative activities. While the two offices have slightly different functions and responsibilities as outlined in their respective mandates,



both serve the interest of the people of St. Kitts and Nevis by carrying out activities to safeguard the assets of the State, and ensure the highest standards of propriety and regularity for the use of public funds as well as to promote effective and efficient public administration.

As outlined in the Memorandum of Understanding, its purpose is to “outline the basis for collaboration between the two offices in fostering the values of good governance in the discharge of their statutory and professional duties.” The collaboration which this MOU will guide is expected to enhance the value of the services provided by the two entities, minimize duplications, and improve their effectiveness.

The Memorandum of Understanding highlights seven core elements

1. Sharing of Risk Assessment and Planning Information
2. Sharing of Reports
3. Follow up of Audit Recommendations
4. Reliance on Internal Audit Work
5. Timing of Audit Assignments
6. Confidentiality
7. Opportunities for Continued Consultation and Collaboration

This collaboration is likely to create economies of scale, and this is expected to contribute significantly to the effectiveness and efficiency of the two entities. Ultimately, the quality of the outputs of the National Audit Office is expected to be enhanced as a direct result of this development.

**Report by the Director of Audit on the Revenue Collections of the
St. Kitts Water Services Department**

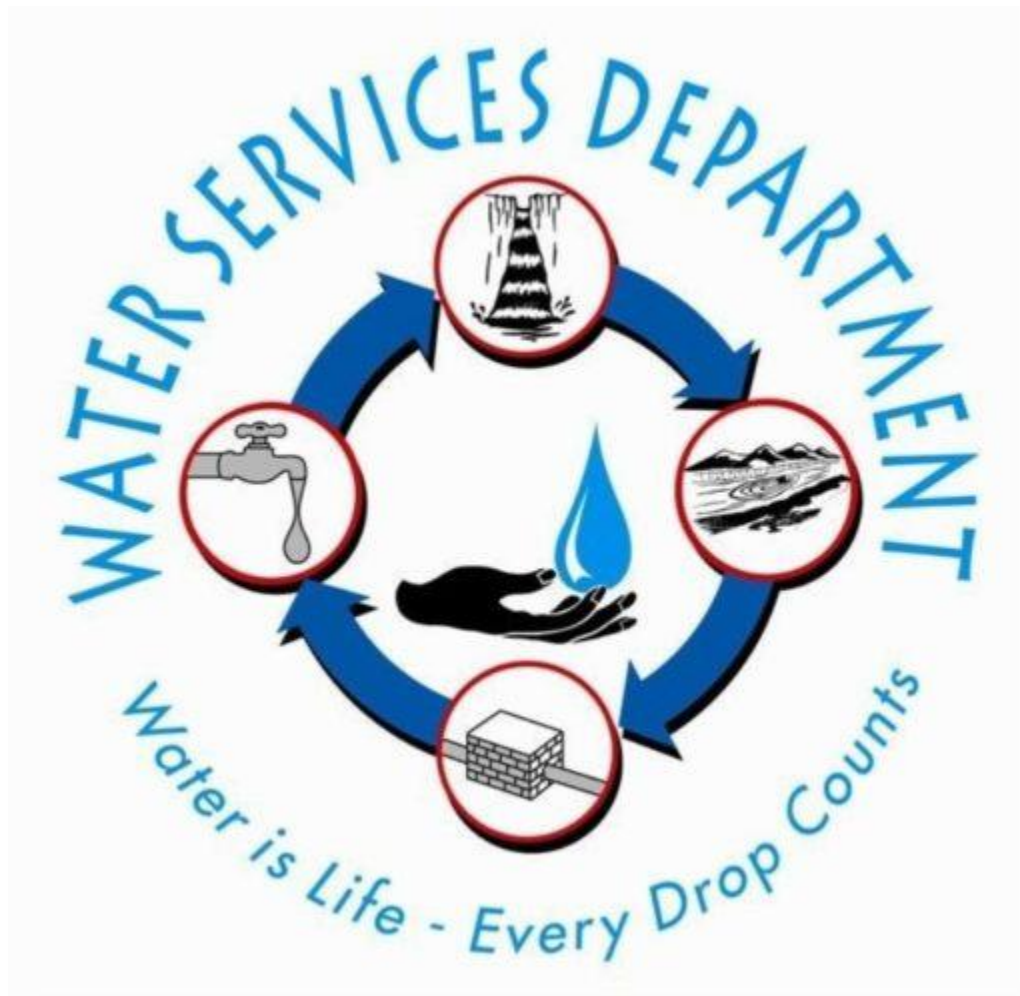


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Executive Summary

The National Audit Office completed an Audit on the Revenue Collection of the Water Services Department. We conducted this performance audit in accordance with generally accepted government auditing standards and guidance from INTOSAI Performance auditing standards. Those standards require that we plan and perform the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our findings and conclusions based on audit objectives. This included documenting policies and practices used for the collection and management of revenues, conducting interviews with junior and senior staff and the head of the department who is responsible for the management and collection of revenues, conducting sample testing using revenue receipts, bills and other accounting data, analyzing audit evidence to develop findings to develop findings, recommendations and conclusions, providing a draft report to management, soliciting responses to the recommendations and preparing a final report.

Finding 1: The Water Services Department Could Improve Its Internal Control Policies and Procedures Over Revenue Collections

Proper controls over revenue collection are necessary to ensure strong financial management practices. We found that the Water Services Department has weak internal controls for the collection of revenues, handling of cash and the supervision of staff.

Strong internal controls mitigate the risk of revenue loss to the Government through theft or error.

Recommendations

We recommend that the Water Services Department:



1. Establish a policy and procedures manual that dictates the processes of revenue collection for the Water Services Department. This document should be uniform for the operations of the department regardless of where the cashiers are stationed. These policies and procedures should be maintained, distributed, accessible and consistently enforced.

The main office should be using a duplicate receipt system which is in line with cash handling best practices.

2. Use a departmental stamp that includes the date on which the transaction occurs. This should be affixed to each receipt issued and each portion of the bills retained by the cashiers.
3. Generate a government issued receipt for **all** transactions (cash, cheques, debit/credit cards, payments via banks) where funds are received by the department.
4. Post payments received through the banking system to customers' accounts on a daily basis to keep the accounts current and also be able to reconcile with funds posted to the ITMS system.
5. Actively supervise the cashiers, the balancing process and verify the float balance at the end of the day. The current organizational structure of the Water Services Department needs to be reconsidered as it currently does not provide for an employee of another department to supervise a cashier from the Water Services Department. To be able to do this, the supervisor must also be proficient in the utility management system being used and this is currently not the case with the supervisor at the General Post Office.

The practice of giving funds to the cashiers when shortages occur should cease. Instead all documentation should be reviewed to determine the cause of the shortage.



6. Establish an amount of float for the cashiers. This amount should be the same for each cashier. It is acknowledged that relief cashiers operate within a limited time period. However from the observations and interviews with the cashiers, the relief cashiers can be called upon to operate as the main cashiers at a moment's notice. The float must be appropriate to account for this type of change.

The vault keys should be kept in the possession of a senior officer who can control the access to the vault. Each cashier should be given their own cash pan to operate from and for which they are responsible. Each person accessing the Continental Utility Solutions Incorporated (CUSI) system should have their own unique identifier or log in name. Entering transactions under someone else's name not only compromises the system but can lead to fraudulent activity.

7. Discontinue the practice of cashiers being allowed to delete their own transactions. The department should ensure that there is segregation of duties. No employee should have access to both the front and back end of any system that records cash transactions. Transactions should also not be deleted without the original receipt or the authorization of a supervisor/manager who has reviewed the transaction and the reason for deleting the transaction. The original receipt should be attached to the duplicate receipt for all deleted and reversed transactions. The CUSI system can facilitate note taking and this feature should be used to record the rationale behind a deleted entry.
8. Reconcile revenue collected on a daily basis. This will ensure that any errors or discrepancies are picked up in a timely manner. This reconciliation should not be done by the cashier who recorded the transaction. While it may not be feasible to reconcile at the end of the day, reconciliation should be done by the end of the following day.



9. Ensure that cash handling processes are included in the policy and procedures manual.

This manual should be updated as systems and procedures change. The department should also consider training on an ongoing basis for its cashiers to enforce procedures.

The department should undertake a risk assessment exercise to identify risks that would hinder the department from meeting its objectives, determine the likelihood of these risks occurring and formulate actions and management responses that would reduce these risks.

Finding 2: The Water Services Department Needs To Improve The Efficiency Of Its Operations

The audit revealed that the department needs to enhance its practices, procedures and systems to allow government revenues to be collected in the most efficient and effective manner.

Recommendations

We recommend that the Water Services Department:

10. Maintain a record (manual or computerized) of all cheques returned to the department.

The record should include such information as date returned, name on account, amount of cheque, action taken by the department, date recovered and date lodged at bank.

11. Undertake an assessment of the arrears portfolio of the department that is deemed uncollectible by the Water Manager/Engineer. A determination needs to be made as to whether these arrears are indeed recoverable and if so, outline a plan to proceed with the recovery. This assessment should include the type of customer (residential, commercial etc.), what efforts have been made to collect over the years, whether the customer is



operational in the case of commercial businesses or still receiving service as in the case of a residential customer.

The department also needs to consider the current strategy being used to collect the past due amounts. Without quantitative data it is difficult to determine if this strategy (issuing warnings) is effective but the increase in arrears points to it being ineffective. The department needs to consider alternative strategies for collecting arrears.

12. Reduce system downtime to as few hours as possible in a given year to allow a smooth flow of the revenue collections process. The department needs to ascertain the reasons for the system down time and formulate an approach to manage the situation. It also means that the department must have a way of measuring the number of hours in down time.

13. Make a decision concerning the acceptance of one and two cent coins by the cashiers.

The practice of manually rounding up or down by each cashier should be stopped.

The guidelines issued by the ECCB in 2015 were prepared so as to give businesses enough time to upgrade their systems. While it has been a concern of the cashiers and the System Administrator, no action has been taken on this issue. The Water Services Department needs to develop a plan in conjunction with the systems developers of CUSI on the way forward so that this situation can be rectified.

14. Ensure that it has adequate staffing so that persons can be deployed to the cashier points during the lunch hours. The cash collection points should not be closed during normal operating hours.

15. Post revenue collected for water connection and repairs to the revenue account in ITMS and discontinue the use of the Below the Line account. A corresponding account should be created in the CUSI system to record these revenues as well.



16. Institute a system for the recording customer complaints and soliciting feedback from customers in relation to the payment of bills. The feedback received could provide valuable information for improving the efficiency of the operations.
17. Provide the Permanent Secretary and Minister with a qualitative report on a monthly basis that highlights not only the actual revenue versus the planned revenue but also areas of concerns, steps taken to recover arrears, delinquent accounts receivables collected, resource constraints and proposals for ensuring that the department meets its objectives where revenue collection is concerned. This will enhance informed decision making.
18. Create a disaster recovery and management plan for the revenue collections area that addresses how the department would respond in the case of an attack on the system, corruption of data, loss of data and natural disasters. This plan should outline how often the system is backed up and to where and whether there is a cold and hot site to allow as little disruption to the collection of revenue as possible.



Introduction

Background

The Water Services Department is part of the Ministry of Public Infrastructure, Post, Urban Development and Transport. The department is a revenue collecting agency with two cashiering sections: one at the main office in Needsmust and the other located within the General Post Office in Basseterre. The department uses a utility billing system called Continental Utility Solutions Incorporated (CUSI) to generate bills and receive payments.

The Government of St. Kitts and Nevis relies on the collection of revenues to finance its various projects, meet the expenses of Government including employment costs and provide services for the public at large. Government should always have a framework in place that ensures it collects and manages revenues in the most efficient and effective manner.

The current framework used by government departments is a decentralized one. Each department is responsible for managing, collecting, depositing and bringing to account the revenues collected by its department.

The department collected over \$7.5 million in revenue for water rates in 2016, which was a decrease from the \$8.3 million collected in 2015. Figure 1 shows the collection of revenue from water rates over the past five years. There has been growth in the areas of residential properties, construction and agriculture, however the decline in revenues suggest that the current practices of the department have not led to the maximization and collection of those revenues.



The effects of a water rationing programme that began in 2015 have also led to a significant decline in the revenues collected in 2015 and 2016. This is evident in the decrease in the budgeted revenue for 2017 which is \$7.8 million.

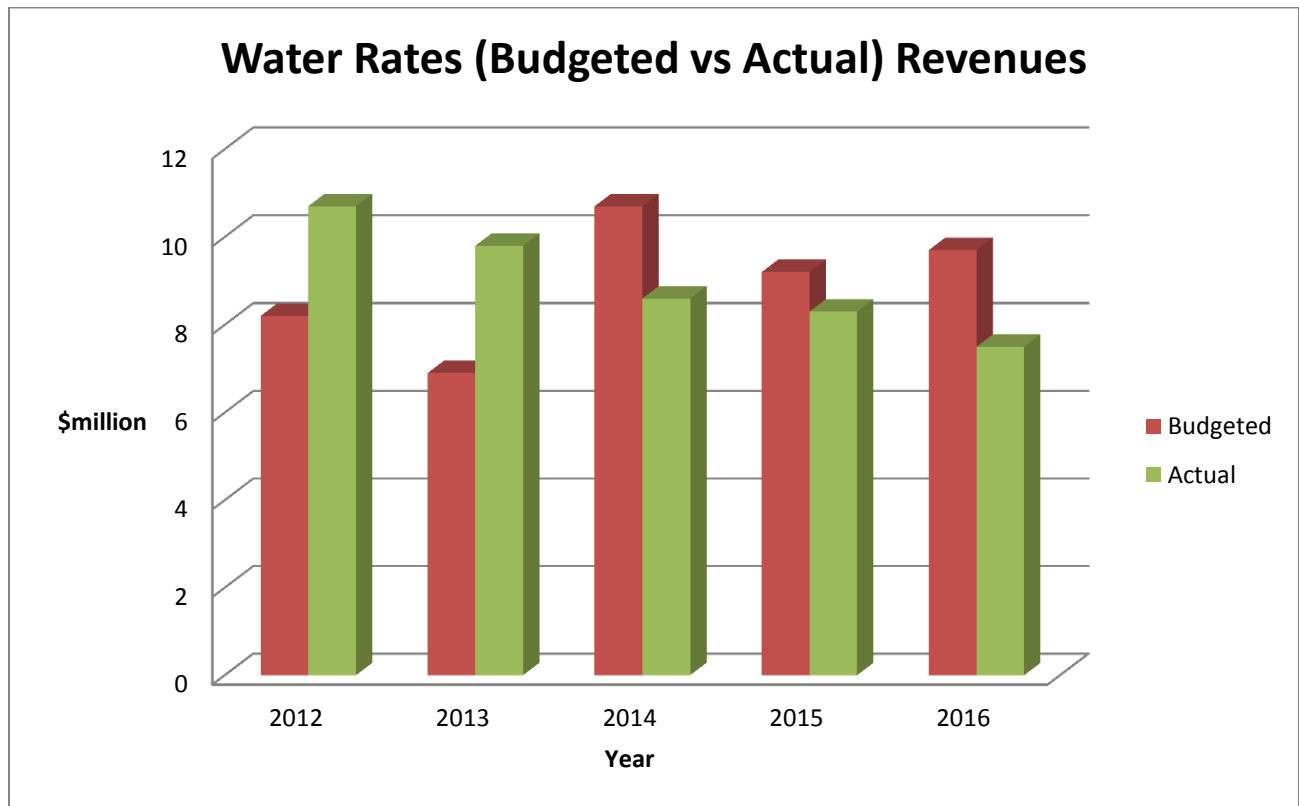


Figure 1. Revenue from Water Rates collected by the department from 2012 to 2016

Audit Objectives

The objectives of the audit were to determine whether the current practices of the Water Services Department were adequate, to evaluate the exposure to risks associated with cash handling procedures and to determine whether the revenue collections process was being managed and operated efficiently and effectively.



Audit Scope and Approach

Our audit covered the period January 2015 to March 2017.

As part of our audit we examined the accounting records for the period under review and the controls established for custody and safe guarding of cash. We observed the operations at the revenue collection points at the main office and at the General Post Office. Our audit used data from CUSI regarding revenue collected and arrears of the department. We also conducted interviews with the Cashiers, the Customer Service Supervisor, the Supervisor at the General Post Office, the Customer Service Manager, the Systems Administrator and the Manager/Water Engineer of the Water Services Department to gain a better understanding of the department's operations, to ascertain policies and procedures of the department and to determine the cashiers' knowledge of the department's policies and procedures and also their knowledge of cash handling best practices.

Audit Findings and Recommendations

Finding 1: The Water Services Department Could Improve Its Internal Control Policies and Procedures Over Revenue Collections

During the course of the audit, the team found areas of weakness in the internal controls of the department. These are highlighted below.

There are different processes in place for the collection of revenues at the two cashiering stations.

The main office has an Enquiries Section. A customer who does not possess a bill at the time of payment can obtain a copy of their bill before proceeding to the cashier to make a payment. This



includes a system of checks and balances where at the end of the day the total of all bills received should match the total revenues collected for that day.

In contrast, the cashiers at the General Post Office accept payments without a bill. A payment can be posted to a customer account by providing the cashier with the name and address on the account. The cashier at this station uses a duplicate receipt system where the customers receive a white copy of the receipt and a yellow copy of the receipt is kept by the cashier. At the end of the day, the total of the bills will not match the receipts or the total listed on the system.

The main office does not use a duplicate receipt system. It uses a single receipting system where the only receipt generated is given to the customer.

We recommend the Water Services Department:

1. Establish a policy and procedures manual that dictates the processes of revenue collection for the Water Services Department. This document should be uniform for the operations of the department regardless of where the cashiers are stationed. These policies and procedures should be maintained, distributed, accessible and consistently enforced.

The main office should be using a duplicate receipt system which is in line with cash handling best practices.

The portion of the bills retained by the cashiers are not date-stamped.

Although the bills received by the cashiers are stamped with the emblem of the Water Services Department, this stamp does not include the date on which the bills are paid. The actual date on which several bills were paid could not be determined as the absence of both a date stamp and a duplicate receipt made that task difficult. Cash handling best practices include the proper



documentation of cash transactions so as to minimize the risk of theft and misappropriation. Proper documentation of cash transactions should include the stamping of the bills received with the date stamp.

We recommend that the Water Services Department:

2. Use a departmental stamp that includes the date on which the transaction occurs. This should be affixed to each receipt issued and each portion of the bills retained by the cashiers.

Receipts are not generated for payments received through the banking system and these payments are not posted to the customers' accounts in a timely manner.

The Water Services Department has payment facilities at three local banks where customers can make payments towards their account. The banks facilitate the payments and send a listing on a daily basis or as transactions occur to an email provided by the Water Services Department. The cashier would then enter the payment information in CUSI.

The audit revealed that receipts are not generated for payments made through the banking system. Although a receipt number is generated in the system, a receipt is not printed and sent to the customer to acknowledge the receipt of funds and the application of those funds to the customer's account.

The audit also revealed several instances where funds received through the banks by the department during one month were not posted to the customers account until the following month. For example, on August 5, 2016, the cashier posted payments made via the banks on July



14, July 15, July 18, July 19, July 20, July 21, July 22, July 25, July 26, July 27, July 28 and July 29 to customers' accounts.

On September 12, 2016, transactions relating to August 30, August 31, September 1, September 2, September 5, September 6, September 7 and September 9 were posted to the customers' accounts.

We recommend that the Water Services Department:

3. Generate a government issued receipt for **all** transactions (cash, cheques, debit/credit cards, payments via banks) where funds are received by the department.
4. Post payments received through the banking system to customers' accounts on a daily basis to keep the accounts current and also be able to reconcile with funds posted to the Intelligent Treasury Management System (ITMS) system which is the financial management system used by the government.

Inadequate supervision of the cashiers

There is very limited supervision of the balancing process both at the main office and at the General Post Office. The Customer Service Supervisor at the main office states that her role with regards to the balancing process is to count the cash and sign the deposit slip that has been provided by the cashier. She verifies that the cash given to her matches the printout from the system. It must be noted that transactions can be deleted by the cashiers and deleted transactions do not appear on the end of day printout. The Customer Service Supervisor does not verify the float balance of the cashiers. The supervisor of the cashiers at the General Post Office also acts as the supervisor of the cashier from the Water Services Department. The supervisor at the General Post Office has stated that she cannot actively supervise the water cashier due to her



current workload and her supervision of the cashiers of the General Post Office. The supervisor at the General Post Office stated she would verify the cashier's float from time to time, on average once every two weeks. She was unaware that the cashiers could and were deleting their own transactions.

The cashiers have acknowledged that they have had cash shortages on occasions. Two cashiers revealed that they have used their own personal funds to bring their float up to the original amount without the knowledge of the supervisors. Cashiers have also reported shortages of cash to the Water Engineer/Manager and he has given them the funds they were short by. The Water Engineer/Manager has confirmed that this practice has happened several times but his rationale for doing so is that his cashiers do not receive a cashier's allowance. He stated that he has written letters on several occasions to obtain the allowance for his cashiers but it has never been approved.

On March 28, 2017 we verified the float of a cashier who had been transferred two days prior from the General Post Office to the main office due to a medical matter. Before the cash count began, the cashier informed us that her cash was short. The initial float given to the cashier was \$200. At the end of the cash count, her float was \$125.30, a shortage of \$74.70. The cashier was asked whom she informed that her float was short. She stated that she informed no one. She also said that she encountered this shortage during the previous week when the system was disabled. Her float also had not been verified by the supervisor at the General Post Office for some time and at the time of her transfer to the main office this supervisor had been off for a few days. The cashier's records were reviewed for March 20, 2017, the only day the system was disabled during that week. The cashier had written 6 manual receipts and all were posted to the CUSI



system on March 20, 2017 as written up in the manual receipt book. No discrepancies were found in her records for that day.

It must be noted that lack of supervision increases the risk to cash of theft and misappropriation.

We recommend that the Water Services Department:

5. Actively supervise the cashiers, the balancing process and verify the float balance at the end of the day. The current organizational structure of the Water Services Department needs to be reconsidered as it currently does not provide for an employee of another department to supervise a cashier from the Water Services Department. To be able to do this, the supervisor must also be proficient in the utility management system being used and this is currently not the case with the supervisor at the General Post Office.

The practice of giving funds to the cashiers when shortages occur should cease. Instead all documentation should be reviewed to determine the cause of the shortage.

The department has weak internal controls over the custody of cash

At the end of the day the cash pans are locked and stored in the vault. It must be noted that all cashiers have access to the vault as the vault key is stored in an unsecured area within the cashiering section of the main office.

At the General Post Office, the supervisor is the only person with access to the vault. This poses a problem when the supervisor does not show up to work and the cashier cannot access the cash pan. This also creates a problem with efficiency as the operations of the cashier are disrupted.

There is no consistency in the amount of float given to each cashier as they all started with differing amounts. Some cashiers had \$100, some \$175, some \$200 and others were not quite



sure of how much they actually started with. There was no consistent figure and management could not provide the amount of float that each cashier was given. To ascertain the amount of float given, each cashier had to be asked.

Examination of the Cashiers' Float Balance Sheets and interviews with two of the cashiers stationed at the main office revealed that in January 2017 they were sharing one cash pan. One cashier would begin in the morning and operate as the main cashier for the day. The other cashier would act as a relief cashier during the lunch hour. The relief cashier would operate using the same cash pan used by the main cashier during the morning hours. The relief cashier would also update customers' accounts using the log in name of the main cashier thereby compromising the integrity of the CUSI system. The cash was balanced at the end of the day and both cashiers would sign on the Cashiers' Float Balance Sheet file. This practice led to significant problems as fluctuations in the float remaining at the end of the day could not be attributed to any single person.

The table below shows the fluctuation in the float balance at the end of the day for the period that these two cashiers shared a cash pan. The float given to the cashier on January 10, 2017 was \$172.00.

Table 1: Float balance for two cashiers

Date	Ending Float
Jan 10, 2017	\$172.45
Jan 11, 2017	\$132.45



Date	Ending Float
Jan 13, 2017	\$133.65
Jan 16, 2017	\$119.85
Jan 17, 2017	\$104.85
Jan 18, 2017	\$104.85
Jan 19, 2017	\$104.75
Jan 20, 2017	\$93.80
Jan 23, 2017	\$94.80
Jan 24, 2017	\$99.95
Jan 25, 2017	\$100.15
Jan 26, 2017	\$96.80
Jan 27, 2017	\$118.95
Jan 30, 2017	\$115.70
Jan 31, 2017	\$118.10
Feb 01, 2017	\$118.30
Feb 02, 2017	\$123.50
Feb 03, 2017	\$100.40

At the end of a period covering less than one month, there was a difference in the float of \$71.60.

This amount was never recovered by the department. The two cashiers however were relieved from their cashiering duties.



The inconsistency of a float balance that remains unchecked has the potential to mask shortages in revenue collections.

We recommend that the Water Services Department:

6. Establish an amount of float for the cashiers. This amount should be the same for each cashier. It is acknowledged that relief cashiers operate within a limited time period. However from the observations and interviews with the cashiers, the relief cashiers can be called upon to operate as the main cashiers at a moment's notice. The float must be appropriate to account for this type of change.

The vault keys should be kept in the possession of a senior officer(s) who can control the access to the vault. Each cashier should be given their own cash pan to operate from and for which they are responsible. Each person accessing the CUSI system should have their own unique identifier or log in name. Entering transactions under someone else's name not only compromises the system but can lead to fraudulent activity.

The cashiers can delete transactions that they have entered into the system

The cashiers are able to enter and also delete their own transactions. A report of deleted transactions for the period January to March 2017 showed that the cashier at the General Post Office frequently deleted her own transactions. During the period January to March 2017, this cashier deleted 18 transactions that she entered into the CUSI system. These transactions were deleted without any notation being made in the system or on the duplicate receipts as to why the transactions were being deleted. Also the original white receipt given to customers should have been recovered and stapled to the duplicate receipt if the transaction was deleted.

It can be concluded that these customers are unaware that their transactions were deleted.



On March 21, 2017, the cashier at the General Post office deleted two payment transactions for a staff member of the National Audit Office. The Deleted Payments List in the CUSI system showed that the cashier deleted receipt number 7021 representing payments made to two accounts totaling \$377.14. The payor (National Audit Office staff member) was asked about the payment and was unaware that her transactions had been deleted and that her water accounts still reflected balances owing as she believed that she had paid the bills in full. The payor subsequently produced the receipts acknowledging that the bills had been paid.

When the bills and receipts were examined for that particular day, the cheque given to the cashier in the amount of \$377.14 was found amongst the bills for that day. The cheque was never presented to the bank. At the end of the day the cashier could not balance as this cheque could not be located. It was misplaced among the bills received from customers during that day. When the cashier realized that she did not have the cheque, she proceeded to delete the transactions without notifying supervisors, management or the customer.

We recommend that the Water Services Department:

7. Discontinue the practice of cashiers being allowed to delete their own transactions. The department should ensure that there is segregation of duties. No employee should have access to both the front and back end of any system that records cash transactions. Transactions should also not be deleted without the original receipt or the authorization of a supervisor/manager who has reviewed the transaction and the reason for deleting the transaction. The original receipt should be attached to the duplicate receipt for all deleted and reversed transactions. The CUSI system can facilitate note taking and this feature should be used to record the rationale behind a deleted entry.

**Reconciliation of revenue collected is not undertaken by the department.**

A reconciliation of revenues received is not undertaken at the end of the day or the following day. Bills and receipts were not reconciled to determine if an incorrect amount had been posted to a customer account or if the wrong account had been erroneously updated. Several discrepancies were also noted between the amounts stated on the bills when compared with the receipts examined by the auditors. It is the practice of the department to record in red ink the amount of monies being paid on the portion of the bill kept by the cashier if the amount is different from the amount stated on the bill. However the audit revealed that there were several bills that stated one amount while the receipt generated was for a different figure.

At the end of the day the amount posted into the CUSI system should match the amount that is being posted into the Intelligent Treasury Management System (ITMS). The audit revealed that reconciliation with ITMS is not being done and there are differences between the amount of revenue stated in CUSI and the amount of revenue stated in ITMS. In 2015, CUSI shows that the Water Services Department collected \$8,376,433.43 in revenue while ITMS shows \$8,382,458.18 a difference of \$6,024.75. In 2016, CUSI shows revenue collections of \$7,482,670.00 while ITMS shows \$7,536,869.13 which is a difference of \$54,199.13.

We recommend that the Water Services Department:

8. Reconcile revenue collected on a daily basis. This will ensure that any errors or discrepancies are picked up in a timely manner. This reconciliation should not be done by the cashier who recorded the transaction. While it may not be feasible to reconcile at the end of the day, reconciliation should be done by the end of the following day.



While the department employs internal cash handling processes, the controls must be strengthened by documenting, maintaining and enforcing its procedures.

Interviews with the cashiers revealed that they were adequately trained in the use of the utility management system. However, when questioned about following practices and procedures of the department as outlined to us by management for the recording of float, the reversal of transactions, the reporting of cash shortages and overages and the responsibility of the cashiers to account for their differences, the cashiers reported that they were never informed of any such procedures until after the fact.

On examination of the Water Services Cashiers' Float Balance Sheets, it was noticed that some cashiers did not fill out the form at the end of the day and other cashiers only started preparing a Cashiers' Float Balance Sheet after having been in the cash for a period of time.

The lack of formal procedures may increase the risk to the department's cash. The current use of informal procedures by cashiers was dependent upon who trained them. It must be noted that in this type of environment if something is learnt incorrectly, it will be passed on incorrectly.

We recommend that the Water Services Department:

9. Ensure that cash handling processes are included in the policy and procedures manual.

This manual should be updated as systems and procedures change. The department should also consider training on an ongoing basis for its cashiers to enforce procedures.

The department should undertake a risk assessment exercise to identify risks that would hinder the department from meeting its objectives, determine the likelihood of these risks occurring and formulate actions and management responses that would reduce these risks.



Finding 2: The Water Services Department Needs To Improve The Efficiency Of Its Operations

The audit revealed there are several areas where the department can improve its operations and the collection of revenue.

The department is not actively following up on returned cheques

A cheque can be returned to the Water Services Department for a number of reasons including insufficient funds, missing signature, incorrect date and different amounts in words and figures to name a few. The department defers the reversal of the payment in the customer's account when a returned cheque is received. A \$100 fine is posted to the customer's account for each returned cheque and the department tries to contact the customer to request the return of the funds. The Customer Service Manager stated that the original payment is reversed only if the customer does not make a timely restitution.

From the records of the Accountant General's Department, sixteen (16) returned cheques were registered to the Water Services Department from July 2015 to February 2017. A review of the individual accounts in CUSI revealed that monies were returned to the department for only four of these returned cheques.

The department's policy is that the customer's account number should be written on the back of the cheque as a cheque written to Accountant General for water payment does not necessarily have to be for the payor listed on the cheque. However the Customer Service Manager stated that some cashiers do not do this and as a result they must resort to looking through bill payments based on the date that the bank accepted the cheque to find a match.



The department does not keep a record of cheques returned so there is no record to show if the cheques were collected, if they are still outstanding or which customer accounts were affected. In fact the department could not give us information concerning six of the cheques listed in the sample as there were no accounts listed for the names on the cheques. We therefore could not ascertain whether these funds had been received by the department.

As a result cheques may be forgotten and customer accounts may show a reduced balance for payments with these cheques that were not honoured by the bank. There were two cheques from 2016 totaling \$652.99 and two cheques from 2017 totaling \$348.00 that had not been recovered but a record was not kept for them and they appeared to have been forgotten.

This practice also leads to a distortion between the records in the CUSI system and the ITMS system as the Accountant General's Department reverses the revenue of departments when a returned cheque is received from the bank.

We recommend that the Water Services Department:

10. Maintain a record (manual or computerized) of all cheques returned to the department.

The record should include such information as date returned, name on account, amount of cheque, action taken by the department, date recovered and date lodged at bank.

The collection of arrears needs to be improved

A summary of aged receivables report taken from CUSI showed that by the end of 2016, the arrears of the Water Services Department totaled over \$14 million, up from \$12 million in 2015. The Water Engineer/Manager acknowledges that this figure includes an amount that has been



brought forward from 2012 when the Water Services Department separated from the Electricity Department. In his opinion the amount brought forward from 2012 is uncollectible.

While there is no written policy or strategy for the collection of arrears, the department has a team that is responsible for collecting arrears. The team is responsible for issuing written and verbal warnings to customers who have overdue balances on their accounts. There is no data kept as to the success rate of the warnings issued by the team.

We recommend that the Water Services Department:

11. Undertake an assessment of the arrears portfolio of the department that is deemed uncollectible by the Water Engineer/Manager. A determination needs to be made as to whether these arrears are recoverable and if so, outline a plan to proceed with the recovery. This assessment should include the type of customer (residential, commercial etc.), what efforts have been made to collect over the years, whether the customer is operational in the case of commercial businesses or still receiving service as in the case of a residential customer.

The department also needs to consider the current strategy being used to collect the past due amounts. Without quantitative data it is difficult to determine if this strategy (issuing warnings) is effective but the increase in arrears points to it being ineffective. The department needs to consider alternative strategies for collecting arrears.

The department needs to limit the amount of system down time

Manual receipt books are used by the cashiers if the CUSI system is disabled at any point in time. The manual receipt books for the month of March 2017 were obtained by the National Audit Office after a request was made. The manual receipt books show that the system was



disabled for a portion of 6 days during the month of March, 2017 on March 7, 20, 27, 28, 30 and 31. Having significant downtime increases the risk of errors as the cashiers have to prepare manual receipts and then post these manual receipts into the CUSI system at the end of the day.

We recommend that the Water Services Department:

12. Reduce system downtime to as few hours as possible in a given year to allow a smooth flow of the revenue collections process. The department needs to ascertain the reasons for the system down time and formulate an approach to manage the situation. It also means that the department must have a way of measuring the number of hours in down time.

The department does not have a plan to handle the discontinuation of the one and two cent coins

In April 2015, the Eastern Caribbean Central Bank (ECCB) issued a statement to discontinue the issuance of the one-cent and two-cent coins as of July 1, 2015. The coins will however remain legal tender until June 30, 2020 which means that they can be accepted for payment but not returned to the customers as change.

The ECCB also issued rounding rules as guidelines for cash transactions. The rules state that when the total transaction value ends in 1,2,3,4,6,7,8 or 9 cents and payment is by cash, rounding should be done up or down to the nearest five cent increment.

The utility management system for the Water Services Department has not taken these rules into consideration and this is causing problems for the cashiers. Water Services Department bills can end in any value and as such payments accepted in cash are either rounded up or down manually by some cashiers while other cashiers accept the one and two cent coins. At the end of the day,



the cashiers would either be short or over by a few cents. They have taken it upon themselves to rectify this problem by bringing their own coins from home in order to balance at the end of the day.

Personal funds should never be commingled with government funds.

We recommend that the Water Services Department:

13. Make a decision concerning the acceptance of one and two cent coins by the cashiers.

The practice of manually rounding up or down by each cashier should be stopped.

The guidelines issued by the ECCB in 2015 were prepared so as to give businesses enough time to upgrade their systems. While it has been a concern of the cashiers and the System Administrator, no action has been taken on this issue. The Water Services Department needs to develop a plan in conjunction with the systems developers of CUSI on the way forward so that this situation can be rectified.

Cash collection points are closed during the lunch hour.

During the audit, it was observed that cash collections points were closed during the lunch hour. This is usually a time when the general public would use the opportunity to make payments towards their accounts. It is an inefficient practice for the collection points to be closed during the lunch hour.

Management has stated that they do have staffing issues in regards to the number of cashiers.



We recommend that the Water Services Department:

14. Ensure that it has adequate staffing so that persons can be deployed to the cashier points during the lunch hours. The cash collection points should not be closed during normal operating hours.

Funds collected for Water Connection and Repairs are not recorded as part of the revenue for the Water Services Department

In 2015 and 2016, the Water Services Department deposited \$289,014.09 and \$136,991.18 respectively for water connection and repairs. This category is not included in the CUSI system and as such not recorded there. The cashiers use manual receipts to record the receipt of these funds and record these amounts in a Below the Line Account instead of a Revenue Account in ITMS. In 2016, the Ministry of Finance created a revenue account for water connection and repairs, however the practice of recording this revenue in the Below the Line account still continues.

A Below the Line Account should not be used to record revenue. These types of accounts should only be used on a very limited basis for funds received that have not been budgeted for. They are to only be used for a specified period of time and should not function from one year to the next.

We recommend that the Water Services Department:

15. Post revenue collected for water connection and repairs to the revenue account in ITMS and discontinue the use of the Below the Line account. A corresponding account should be created in the CUSI system to record these revenues as well.



There is no structure in place for the recording of customer complaints and feedback

There are no procedures to handle customer complaints with regards to the issue of bill payments. Documentation does not exist to show how these types of customer complaints are resolved or how many complaints are received over a given period of time.

We recommend that the Water Services Department:

16. Institute a system for the recording of customer complaints and soliciting feedback from customers in relation to the payment of bills. The feedback received could provide valuable information for improving the efficiency of the operations.

The Water Services Department provides the Ministry with quantitative information.

The Manager/Water Engineer provides the Permanent Secretary and the Minister with responsibility for the department with quantitative information concerning the actual revenue collected compared to the revenue projections for a particular month and the difference between the two figures. While the management stated that the report was submitted on a monthly basis, the report obtained by the National Audit Office covered the first four months of 2017 and was submitted in May 2017.

While quantitative data shows what is actually occurring with pre-established goals, qualitative data should be included to enhance the report and allow the Permanent Secretary and the Minister to discern the problem areas within the department and recommend corrective action.

We recommend that the Water Services Department:

17. Provide the Permanent Secretary and Minister with a qualitative report on a monthly basis that highlights not only the actual revenue versus the planned revenue but also areas



of concerns, steps taken to recover arrears, delinquent accounts receivables collected, resource constraints and proposals for ensuring that the department meets its objectives where revenue collection is concerned. This will enhance informed decision making.

18. Create a disaster recovery and management plan for the revenue collections area that addresses how the department would respond in the case of an attack on the system, corruption of data, loss of data and natural disasters. This plan should outline how often the system is backed up and to where and whether there is a cold and hot site to allow as little disruption to the collection of revenue as possible.



The following responses were provided by the management of the St. Kitts Water Services Department.

Recommendations	Status
Receipt Date Stamp	Implemented on 6/6/2017
System for Online Payment	Implemented on 5/6/2017
System Downtime Log	Implemented on 7/7/2017
Customer Complaint Log	Implemented
Reconciliation of Payments	Implemented on 7/7/2017
Regularization of Cashier Float Amount	Done 7/7/2017
Vault Room Log	Implemented 6/7/2017
Retrofit of GPO	Wrote to Dir/PWD, Promised by end of September
Removal of Vault Keys from Unsecured Area	Keys are now with Customer Service Supervisor
Vault Code	Customer Service Supervisor now has Code
Discontinue use of Below the Line A/C	P/S to Address Matter, WSD has Strong Justification to Continue
Cashiers now have float of \$200.00	Implemented on 7/7/2017
Matter of Deletion of Payment by Cashier	Triggered Audit, M/WE referred Matter to P/S. Memo of 7/7/2017
Cashier Replaced Balance of Float	Cashier Replaced \$75.00 on 27/06/2017
Removal of Cashiers Access to Payment Deletion	Implemented 10/07/2017
Return of Checks Log Book	Implemented 12/05/2017
Supervision of WSD Cashiers at GPO	Plans to Station 2 Cashiers and 1 Supervisor Permanently at GPO
Service Connection Pay into ITMS System	Implemented 27/07/2017
Disaster Recovery Plan (System Analyst)	WSD Collaborating with Treasury to Develop plan by 31/07/2017